

Editorial

Reframing Organizational Purpose: Stakeholder cognition, executive sensemaking & the future of business

Special issue editors:

Sudhanshu Bhatt (ORCID ID: 0000-0002-0784-2441)

M.F. Harake (ORCID ID: 0000-0002-6287-979X)

Jean Micheal Viola (ORCID ID: 0009-0006-0567-0814)

Organizational purpose has become a central topic in contemporary management scholarship and executive practice. Previously linked primarily to corporate identity or mission (Reyes & Kleiner, 1990; Pratt & Hedden, 2023; Espedal, 2023), organizational purpose now serves as a foundation for stakeholder legitimacy, ethical governance, organizational resilience, strategic renewal, and sustainable value creation (McGahan, 2023; Gulati & Wohlgezogen, 2023; Mahoney, 2023; Segrestin & Levillain, 2023; Florez-Jimenez et al., 2024; Lee et al., 2023; Pardo-Jaramillo et al., 2025; Bhattacharya et al., 2023).

Despite its increasing prominence, organizational purpose remains conceptually ambiguous. Diverse definitions and theoretical perspectives have broadened the explanatory scope, but reduced conceptual clarity (Brosch, 2023). The current challenge is not whether purpose is important, but how it is interpreted, enacted, and sustained within organizations facing uncertainty and institutional complexity. This special issue addresses this challenge. Renewed interest in organizational purpose signals a broader transformation in management thinking, where organizational legitimacy and long-term success depend on both financial performance and meaningful engagement with diverse stakeholders (McGahan, 2023; Jasinenko & Steuber, 2023; Henisz, 2023). Although this shift has generated significant scholarship, fundamental questions persist (Durand & Huynh, 2024), such as how is organizational purpose enacted and why does it matter?

The contributions in this special issue collectively suggest that purpose should be understood as a dynamic process. Executives interpret uncertainty, governance structures translate values into action, and stakeholders confer legitimacy. In this way, this special issue advances the Journal of Business, Ethics and Society's commitment to interdisciplinary scholarship at the intersection of business, ethics and society.

What is organizational purpose?

This first question addresses the nature of organizational purpose. The articles in this issue indicate that purpose is neither an inherent organizational attribute nor a static declaration of intent. Instead, it is a cognitive and relational construct, with meaning shaped through interpretation by executives, employees, and stakeholders. Ginocchio and Kassar (2026) develop this perspective by demonstrating that organizational purpose is influenced by psychological, cultural, and generational biases. By integrating Kahler's Process Communication Model, Lewis's cultural communication framework, and Strauss and Howe's Generational Cohort Theory, they introduce an instrument that explains how cognitive biases affect managerial judgment and stakeholder interpretation. This contribution advances the literature by demonstrating that purpose attains organizational significance only through the sensemaking processes of those who formulate and enact it. From this viewpoint, stakeholder alignment cannot be achieved solely through organizational declarations. Rather, purpose is an

ongoing process of interpretation and dialogue, where legitimacy depends on the organization's ability to reconcile diverse stakeholder perspectives.

How is organizational purpose enacted?

If purpose is cognitively constructed, the subsequent question is how does it shape organizational action? The articles on executive leadership, crisis governance, and artificial intelligence reveal that purpose is enacted through executive sensemaking and adaptive governance, rather than through symbolic commitments alone. The paper by Harake reconceptualizes purpose as a governance resource that enables executives to navigate uncertainty, address ethical trade-offs, and coordinate organizational action during institutional disruption. Purpose thus serves as an interpretive framework that supports leadership amid ambiguity and competing stakeholder demands.

Omari Harake's paper extends this analysis to healthcare, examining managerial artificial intelligence as an emerging infrastructure for organizational sensemaking. Artificial intelligence does not resolve stakeholder tensions but instead transforms how competing priorities are interpreted, prioritized, and governed. Collectively, these studies show that organizational purpose operates as an evolving governance capability, enabling organizations to translate values into strategic action while managing institutional complexity.

Why does organizational purpose matter?

The remaining papers demonstrate that purpose matters because it supports innovation, resilience, stakeholder legitimacy and sustainable value creation. Sampson contends that purpose provides the strategic coherence required for innovation, digital transformation, and organizational renewal. By framing purpose as an organizational "alarm system" against strategic myopia (Morrison & Mota, 2023), the study shows that a credible and context-sensitive purpose enables organizations to adapt while maintaining alignment with their core identity. This perspective extends the discussion beyond crisis management, illustrating that the sensemaking capabilities supporting resilience also drive long-term transformation.

The final article shifts focus from organizations to stakeholders. Onewo and Belyaeva, utilizing the Theory of Planned Behaviour, find that favourable consumer attitudes are the strongest predictor of ESG-conscious purchasing behaviour. Their results indicate that organizational purpose generates value only when external stakeholders perceive it as authentic and credible, emphasizing its relational and fiduciary nature rather than a unilateral declaration (Trivino, 2023; Mahoney, 2023). When considered alongside Aguilin's (2025) research on stakeholder participation and Biradar and Deas's (2025) analysis of mission drift, this contribution underscores a key conclusion: legitimacy is achieved through consistent organizational practice and stakeholder trust, not by declaration only.

Collectively, these articles present a coherent understanding of organizational purpose. Purpose originates in executive cognition, is translated into governance and strategic action through organizational sensemaking (Kumar & Singhal, 2012) and ultimately derives significance from stakeholder interpretation and legitimacy. Thus, organizational purpose is not merely a symbolic aspiration but a dynamic capability that enables organizations to navigate uncertainty, balance competing stakeholder expectations, and sustain long-term performance. The contributions also highlight several avenues for future research. Further investigation is needed into the cognitive mechanisms by which executives and stakeholders interpret purpose, the governance processes that sustain purpose during institutional disruption, and the influence of

emerging technologies on ethical decision-making. Additionally, future research should explore how organizational purpose is experienced across various institutional, cultural, and stakeholder contexts, acknowledging that legitimacy depends on ongoing interaction between organizations and those they serve.

We express our gratitude to Professor Payal Kumar, Editor-in-Chief of the *Journal of Business, Ethics and Society*, for her leadership and support throughout the development of this special issue. We also thank BML Munjal University for its editorial assistance, the authors for their valuable contributions, and the reviewers for their rigorous evaluations which enhanced every manuscript. It is our hope that this special issue serves not as a definitive statement on organizational purpose, but as an invitation to further interdisciplinary scholarship exploring how organizations create meaning, legitimacy, resilience and long-term value in an increasingly complex world.

REFERENCES

- Aguiling, M. A. H. (2025). Beyond recipients: A framework for meaningful child beneficiary participation in non-government organizations. *Journal of Business, Ethics and Society*. <https://doi.org/10.61781/6-1I2026/5bmlm>
- Bhattacharya, C. B., Sen, S., Edinger-Schons, L. M., & Neureiter, M. (2023). Corporate purpose and employee sustainability behaviors. *Journal of Business Ethics*, 183(4), 963-981. <https://doi.org/10.1007/s10551-022-05090-5>
- Biradar, B., & Deas, L. (2025). Microfinance and mission drift: Navigating the ethical tensions between financial self-sufficiency and poverty alleviation. *Journal of Business, Ethics and Society*. <https://doi.org/10.61781/5-2II2025/5bmlm>
- Brosch, N. (2023). Corporate purpose: from a ‘Tower of Babel’ phenomenon towards construct clarity. *Journal of Business Economics*, 93(4), 567-595. <https://doi.org/10.1007/s11573-023-01137-9>
- Durand, R., & Huynh, C. W. (2024). Corporate purpose research: Streams and promises. *Journal of Management Scientific Reports*, 2(3-4), 218-234. <https://doi.org/10.1177/27550311241283390>
- Espedal, G. (2023). Taking the time: remembering values-based legacy to serve organizational purposes. *Management & Organizational History*, 18(2), 199-222. <https://doi.org/10.1080/17449359.2023.2238678>
- Florez-Jimenez, M. P., Lleo, A., Danvila-del-Valle, I., & Sanchez-Marin, G. (2024). Corporate sustainability, organizational resilience and corporate purpose: a triple concept for achieving long-term prosperity. *Management Decision*, 62(7), 2189-2213. <https://doi.org/10.1108/MD-06-2023-0938>
- Gulati, R., & Wohlgezogen, F. (2023). Can purpose foster stakeholder trust in corporations?. *Strategy Science*, 8(2), 270-287. <https://doi.org/10.1287/stsc.2023.0196>

- Henisz, W. J. (2023). The value of organizational purpose. *Strategy Science*, 8(2), 159-169. <https://doi.org/10.1287/stsc.2023.0195>
- Jasinenko, A., & Steuber, J. (2023). Perceived organizational purpose: Systematic literature review, construct definition, measurement and potential employee outcomes. *Journal of Management Studies*, 60(6), 1415-1447. <https://doi.org/10.1111/joms.12852>
- Kumar, P., & Singhal, M. (2012). Reducing change management complexity: aligning change recipient sensemaking to change agent sensegiving. *International Journal of Learning and Change*, 6(3-4), 138-155. <https://doi.org/10.1504/IJLC.2012.050855>
- Lee, J. Y., Bansal, P., & Mascena Barbosa, A. (2023). Seeing beyond the here and now: How corporate purpose combats corporate myopia. *Strategy Science*, 8(2), 302-310. <https://doi.org/10.1287/stsc.2023.0183>
- Mahoney, J. T. (2023). Corporate personhood and fiduciary duties as critical constructs in developing stakeholder management theory and corporate purpose. *Strategy Science*, 8(2), 212-220. <https://doi.org/10.1287/stsc.2023.0191>
- Mahoney, J. T. (2023). Corporate personhood and fiduciary duties as critical constructs in developing stakeholder management theory and corporate purpose. *Strategy Science*, 8(2), 212-220. <https://doi.org/10.1287/stsc.2023.0191>
- McGahan, A. M. (2023). The new stakeholder theory on organizational purpose. *Strategy Science*, 8(2), 245-255. <https://doi.org/10.1287/stsc.2023.0184>
- McGahan, A. M. (2023). The new stakeholder theory on organizational purpose. *Strategy Science*, 8(2), 245-255. <https://doi.org/10.1287/stsc.2023.0184>
- Morrison, A. D., & Mota, R. (2023). A theory of organizational purpose. *Academy of Management Review*, 48(2), 203-219. <https://doi.org/10.5465/amr.2019.0307>
- Pardo-Jaramillo, S., Lleó-de-Nalda, Á., Gómez, M. I., & Osuna Soto, I. (2025). Enhancing corporate sustainability through customer centricity and corporate purpose. *Business Strategy and the Environment*, 34(4), 4853-4870. <https://doi.org/10.1002/bse.4232>
- Pratt, M. G., & Hedden, L. N. (2023). Accounts and accountability: On organizational purpose, organizational identity, and meaningful work. *Strategy Science*, 8(2), 182-192. <https://doi.org/10.1287/stsc.2023.0189>
- Reyes, J. R., & Kleiner, B. H. (1990). How to establish an organisational purpose. *Management Decision*, 28(7). <https://doi.org/10.1108/00251749010004665>
- Segrestin, B., & Levillain, K. (2023). Profit-with-purpose corporations: Why purpose needs law and why it matters for management. *European Management Review*, 20(4), 733-740. <https://doi.org/10.1111/emre.12628>
- Triviño, J.B. (2023). Challenges of embedding sustainability in organizational culture. *Journal of Business, Ethics and Society*, 3(2), 1-14. <https://doi.org/10.61781/3-2II2023/3bmlm>